

BRITISH-AMERICAN INVESTMENTS COMPANY (KENYA) LIMITED
UNAUDITED GROUP RESULTS FOR THE SIX MONTHS PERIOD
ENDED 30 JUNE 2012

The Board of Directors is pleased to announce the unaudited group results for the six months ended 30 June 2012.

PERFORMANCE OVERVIEW

The Group has delivered a strong performance in the first half of the year driven by effective execution of its strategy.

The Group achieved a profit before tax of Shs 1.8 billion and comprehensive post tax income of Shs 2.8 billion. We continue to realise the benefits of investment in our business generation and processing strategies. To this end, our insurance business achieved revenues growth of 29% to Shs 3.3 billion from the same time last year, while the asset management business achieved revenues of Shs 159.0 million, a 33% growth.

The Group attained strong investment performance to record an investment income through the profit and loss account of Shs 2.6 billion compared to a loss of Shs 54.9 million for the same period in 2011. An important component of the investment income is from fixed income in line with our strategic shift towards more stable earnings. A vibrant Nairobi Securities Exchange (NSE) also enhanced the high returns.

While the external environment remains uncertain, we are driving growth by pursuing our aggressive strategies.

There have been no changes in accounting policies and methods of computation of the results.

DIVIDEND

The Board of Directors does not recommend payment of an interim dividend.

FUTURE OUTLOOK

We expect revenue growth in the second half of the year to continue to be strong.

We are on course in the implementation of the post IPO strategy that seeks to increase focus on growth opportunities including (i) investment in real estate, (ii) execution of our Shs 10 billion-property fund (iii) expanding the core businesses by progressing the Group's geographical expansion strategy with entry to new markets (to that end, we are pleased to note that our operation in Juba, South Sudan has recently commenced operations), and (iv) pursuing local expansion through an increased branch network and representation in the counties as well as growing our sales force.

Key Highlights

Maintained high revenue growth at 30%

1. Kenya insurance general business revenue of Shs 1.3 billion from Shs 941 million in June 2011, an impressive growth of 42%
2. Kenya insurance life business revenue of Shs 2.0 billion from Shs 1.6 billion in June 2011, a growth of 22%
3. Asset management revenue growth of Shs 159 million from Shs 120 million in June 2011, a growth of 33%

Highly profitable business; we insist on quality business and diligent underwriting.

1. Life business profit before tax of Shs 446 million
2. General insurance profit before tax of Shs 372 million
3. Asset management profit before tax of Shs 57 million compared to Shs 30 million in June 2011

We pride ourselves in our balance sheet strength and our willingness to pay claims promptly;

1. Total assets of Shs 32.3 billion
2. Funds under management of Shs 25.7 billion
3. Total funds being managed by the group of Shs 48.9 billion
4. Net policyholders' benefits payable in the period of Shs 2.4 billion
5. Increased cash flows from operations to Shs 2.3 billion from 745 million in June 2011
6. Investments in quality assets
7. Strategic alliances

Consolidated Income Statement

	30 June 2012	30 June 2011
	Shs'000	Shs'000
Gross earned premiums	3,349,667	2,583,994
Less: reinsurance premium ceded	(452,149)	(296,450)
Net earned premiums and management fees	2,897,517	2,287,544
Fund management fees	159,035	119,681
Net earned premiums and management fees	3,056,552	2,407,225
Investment income	2,592,797	(54,899)
Commissions earned	109,193	72,054
Other income	13,593	14,678
Net income	5,772,135	2,439,058
Net claims payable	2,356,101	1,247,032
Operating and other expenses	985,489	766,807
Commissions payable	660,503	534,901
	1,645,992	1,301,708
Profit/ (loss) before share of the associate	1,770,043	(109,682)
Share of profit of associate	53,094	-
Profit/ (loss) before tax	1,823,138	(109,682)
Income tax expense	(143,866)	(87,997)
Profit /(loss)for the year after tax	1,679,271	(197,679)
Basic and diluted Earnings Per Share	0.93	(0.13)

Consolidated Statement of Comprehensive Income

	30 June 2012	30 June 2011
Profit/(loss) for the year	1,679,271	(197,679)
Other comprehensive income items net of tax:		
Gains/(losses) on available-for-sale financial assets	1,123,217	(222,425)
Currency translation losses	(4,530)	-
Total other comprehensive income/(loss)	1,118,687	(222,425)
Total comprehensive income/(loss) for the year	2,797,958	(420,104)

Consolidated Statement of Financial Position

	30 June 2012	30 June 2011
	Shs'000	Shs'000
Capital employed		
Share capital	189,145	189,145
Share premium	3,164,455	3,164,455
Other reserves	4,649,890	3,531,204
Retained earnings	3,082,059	1,388,926
Proposed dividends	-	283,718
Shareholders' funds	11,085,549	8,557,448
REPRESENTED BY:		
Assets		
Property and equipment	667,424	653,360
Intangible assets	120,606	114,380
Investment in associate	1,433,582	1,360,608
Investment property	1,415,740	1,405,294
Available for sale quoted investments	4,896,617	3,409,402
Financial assets at fair value through profit and loss		
- quoted ordinary shares	4,933,221	4,281,483
- unquoted ordinary shares	50,490	50,490
- government securities	222,246	216,334
- unit trusts	4,617,751	4,378,902
Government securities held to maturity	6,105,066	4,374,453
Corporate bond	413,904	283,329
Mortgage loans	771,090	678,897
Loans to policy holders	274,145	247,304
Receivables arising out of direct insurance arrangements	334,979	287,756
Reinsurers' share of technical provisions and reserves	2,289,532	584,552
Receivables from related parties	4,626	9,106
Deferred acquisition costs	118,395	97,049
Deferred income tax	3,981	3,982
Tax recoverable	3,905	-
Other receivables	414,294	313,248
Deposits with financial institutions	2,792,042	2,463,976
Cash and bank balances	442,762	425,339
Total assets	32,326,398	25,639,244
Liabilities		
Insurance contracts liabilities	9,764,208	7,370,421
Amounts payable under deposit administration contracts	4,695,244	4,039,062
Liabilities under investment contracts	4,000,944	3,173,191
Unearned premium	1,129,164	982,778
Creditors arising from reinsurance arrangements	96,122	119,755
Retirement benefit liability	49,547	50,076
Bank loan	839,198	784,577
Other payables	551,364	546,610
Overdraft	115,058	1,154
Current income tax payable	-	14,172
Total liabilities	21,240,849	17,081,796
Net assets	11,085,549	8,557,448

Consolidated Statement of Changes in Equity

Period ended 30 June 2011	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
At start of year	150,000	-	6,127,936	4,092,044	200,000	10,569,980
Comprehensive (loss)						
Loss of the year	-	-	-	(197,679)	-	(197,679)
Other comprehensive income/(loss):						
Fair value losses on available-for-sale financial assets	-	-	(222,425)	-	-	(222,425)
Total other comprehensive (loss)	-	-	(222,425)	-	-	(222,425)
Total comprehensive loss for the year	-	-	(222,425)	(197,679)	-	(420,104)
Transfer to other reserves	-	-	-	-	-	-
Transactions with owners						
Dividends:						
- Final for 2010 paid	-	-	-	-	(200,000)	(200,000)
At end of period	150,000	-	5,905,511	3,894,365	-	9,949,876

Consolidated Statement of Changes in Equity (Cont'd...)

Period ended 30 June 2012	Share capital	Share premium	Other reserves	Retained earnings	Proposed dividends	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	189,145	3,164,455	3,531,203	1,388,925	283,718	8,557,446
Comprehensive income						
Loss of the year	-	-	-	1,679,271	-	1,679,271
Comprehensive income/(loss)						
Currency translation losses	-	-	(4,530)	-	-	(4,530)
Fair value gains on available-for-sale financial assets	-	-	1,123,217	-	-	1,123,217
Total other comprehensive income	-	-	1,118,687	-	-	1,118,687
Total comprehensive income for the year	-	-	1,118,687	1,679,271	-	2,797,958
Transactions with owners						
Dividends:						
- Final for 2011 paid				13,860	(283,718)	(269,858)
- Proposed final for 2011				-	-	-
At end of period	-	-	-	13,860	(283,718)	(269,858)
	189,145	3,164,455	4,649,890	3,082,058	-	11,085,549

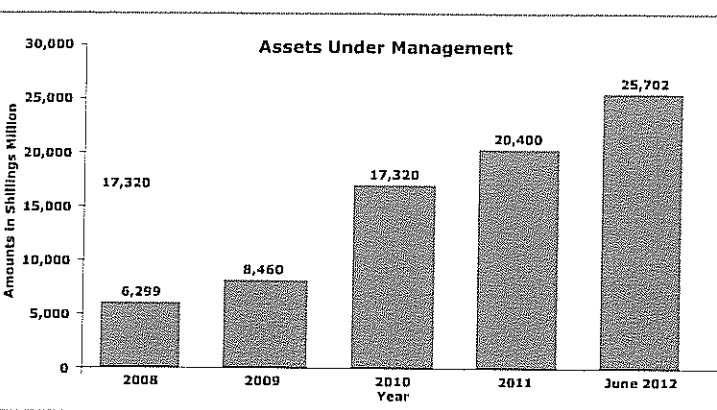
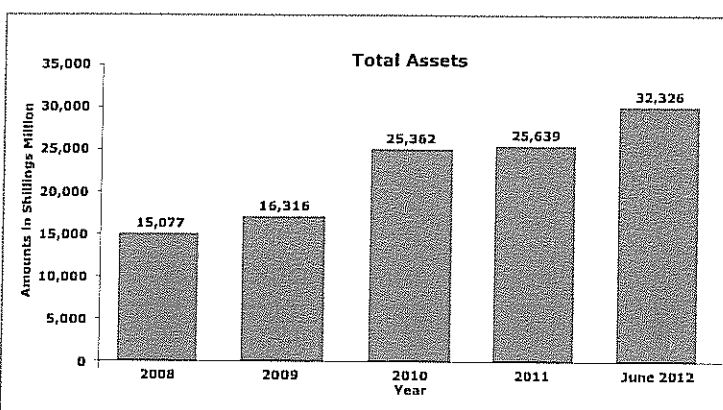
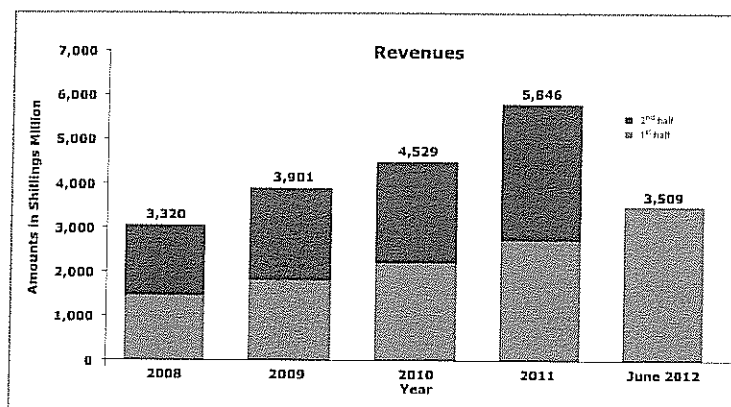
Consolidated Statement of Cash Flows

	30 June 2012	31 December 2011	30 June 2011
	Shs'000	Shs'000	Shs'000
Operating activities			
Cash generated from operations	2,276,285	2,442,627	745,644
Income tax paid	(142,088)	(217,312)	(75,236)
Interest paid			
Net cash from operating activities	2,134,197	2,225,315	670,408
Investing activities			
Purchase of property and equipment	(55,482)	(110,573)	(16,877)
Purchase of intangible assets	(15,483)	(41,543)	(11,161)
Purchase of investment property	(10,446)	(16,870)	(136)
Sale of investment property	13,600	717	-
Investment in associate	(19,879)	(516,795)	-
Net investment in government securities at fair value through profit and loss	11,470	92,981	53,667
Investment in government securities held to maturity	(1,737,517)	(2,265,239)	(1,358,541)
Investment in unit trusts	(228,262)	(1,102,466)	(250,290)
(purchase)/sale of corporate bond	(130,575)	22,388	(3,549)
Purchase of quoted shares at fair value through profit and loss	(131,219)	(32,235)	(7,256)
Proceeds from disposal of quoted shares - at fair value through income statement	9,956	251,627	-
Proceeds from disposal of available for sale quoted shares	-	324,456	38,784
Purchase of treasury shares	-	(829,752)	-
Mortgage loans advanced	(119,890)	(243,737)	-
Mortgage loans repayments	69,348	141,304	21,953
Net -policy loans advanced	(26,841)	56,114	39,421
Dividend received	440,324	416,044	351,628
Rent and interest received	298,143	334,439	215,153
Net cash used in investing activities	(1,632,753)	(3,519,140)	(927,204)
Financing activities			
Loan received	-	29,000	-
Loan repayment	-	(87,535)	-
Initial Public Offer	-	3,526,403	-
Dividends paid	(269,858)	(200,000)	(200,000)
Net Cash (used in)/ generated from financial activities	(269,858)	3,267,868	(200,000)
Net increase in cash and cash equivalents	231,586	1,974,043	(456,796)
At start of year	2,888,161	914,118	914,118
Increase	231,586	1,974,043	(456,796)
At end of period	3,119,747	2,888,161	457,322

BRITISH-AMERICAN INVESTMENTS COMPANY (KENYA) LIMITED

UNAUDITED GROUP RESULTS FOR THE 6 MONTHS PERIOD ENDED 30 JUNE 2012

The Board of Directors is pleased to announce the unaudited group results for the 6 months period ended 30 June 2012.



FINANCIAL STATEMENT COMMENTARY

Strong performance in the first half of the year driven by solid execution of our strategy.

We achieved a profit before tax of Shs 1.8 billion and comprehensive post tax income of Shs 2.8 billion.

The insurance business revenues have grown by 29% to Shs 3.3 billion from same time last year, while the asset management business achieved revenues of Shs 159.0 million, a growth of 33%.

The Group achieved investment income of Shs 2.6 billion compared to a loss of Shs 54.9 million for the same period in 2011 driven by higher returns from fixed income investments and the positive impacts of a more vibrant Nairobi Securities Exchange (NSE)

We are driving growth by pursuing our insurance, asset management, property and regional expansion strategies.

We expect revenue growth in the second half of the year to continue to be strong.

The Board of Directors does not recommend payment of an interim dividend.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	30 June 2012	30 June 2011
	Shs'000	Shs'000
Gross earned premiums	3,349,667	2,583,994
Less: reinsurance premium ceded	(452,149)	(296,450)
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STATEMENT FROM THE DIRECTORS

The above financial statements are extracts of the financial report of the Group

Signed: J. Nicholas Ashford-Hodges
Chairman

Signed: Benson I. Walregi
Group Managing Director